



ATHI RIVER MINING LTD

KENYA, TANZANIA, SOUTH AFRICA, RWANDA

P. O. Box 41908 - 00100 Nairobi Kenya.
Rhino House, Chiromo Road, Westlands

July 24, 2012

Peter Mwangi,
Chief Executive,
Nairobi Stock Exchange Ltd,
P.O. Box 43633-00100,
NAIROBI

Dear Sir

**RE:UNAUDITED HALF YEAR RESULTS FOR THE PERIOD ENDING JUNE
30, 2012**

We are pleased to enclose herewith the unaudited half year results for the six months ending June 30, 2012.

Yours Sincerely,

PRADEEP H PAUNRANA
MANAGING DIRECTOR

Cc The Chief Executive,
Capital Markets Authority,
P.O. Box 78400-00200,
NAIROBI



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Rick Ashley (Chairman), Pradeep H Paunrana (Managing Director), S L Bhatia (Deputy Managing Director), Atul Mathur,
Wifred Murungi, Daniel Ndonge, Michael Turner

UNAUDITED GROUP RESULTS
FOR THE SIX MONTHS ENDED JUNE 30, 2012

	UNAUDITED	UNAUDITED	% INCREASE
CONSOLIDATED INCOME STATEMENT	30.06.12	30.06.11	
	KES'000	KES'000	
Turnover	5,073,987	3,695,189	37%
Profit Before Tax	790,962	636,296	24%
Taxation	(240,779)	(194,400)	
Profit After Tax	550,183	441,896	25%
Non Controlling Interests	2,135		
Profit Attributable to Shareholders of Parent Company	552,318	441,896	25%
Annualised Earning Per Share (Ksh.)	11.15	8.92	25%
CONSOLIDATED BALANCE SHEET AS AT	UNAUDITED	AUDITED	
	30.06.12	31.12.11	
	KES'000	KES'000	
Share Capital		495,275	495,275
Share Premium		302,027	302,027
Capital and Other Reserves		5,695,699	5,201,355
Equity attributable to equity holders of parent Company		6,493,001	5,998,657
Non - Controlling interest		101,734	103,869
Total Capital and reserves		6,594,735	6,102,526
Non Current Liabilities		10,847,485	9,993,361
		17,442,220	16,095,887
Assets			
Non Current Assets		17,557,393	16,792,719
Working Capital:			
Current Assets		3,165,412	3,723,221
Current Liabilities		3,280,585	4,420,053
Net Working Capital		(115,173)	(696,832)
		17,442,220	16,095,887
CONSOLIDATED CASH FLOW FOR SIX MONTHS ENDED	30.06.12	30.06.11	
	KES'000	KES'000	
Cash Generated before working capital changes		1,149,299	1,217,339
Working Capital Changes		(395,669)	(429,961)
Cash Generated from operations		753,630	787,378
Net Interest		(157,104)	(231,895)
Tax Paid		(75,603)	(63,445)
Net Cash from Operating Activities		520,923	492,038
Net Cash used in Investing Activities		(1,102,235)	(1,588,127)
Net Cash from Financing Activities		312,859	1,235,706
Increase/(Decrease) in Cash and Cash Equivalents		(268,453)	139,617
At start of the Period		337,133	1,198,925
		-	-
At end of the Period		68,680	1,338,542

RESULTS

The Board of Directors is pleased to announce the unaudited half year results for the Group for six months ended June 30, 2012.

Turnover for the first 6 months of 2012 increased by 37% to KES 5.1 billion over the corresponding period last year. This was driven mainly by over 60% increase in sales of Rhino cement during the year.

Profit After Tax of KES. 550 million grew by 25% over the profit in the first half of 2011. Earnings Per Share on an annualized basis increased from KES 8.92 per share in June 2011 to KES.11.10 per share in June 2012. The Company has invested Ksh. 1.1 billion primarily into Tanzania cement project in the first 6 months of 2012.

AFRICA FINANCE CORPORATION

The company signed the USD 50 M convertible note agreement with AFC in June 2012. The drawdown is expected in this quarter pursuant to completion of the legal formalities.

TANZANIA

The company has completed the first phase of construction of the 1.5 million tons per year cement project in Dar Es Salaam, which is expected to commence production in August 2012. The Tanga clinker and cement plant construction is still in progress and is expected to be completed in the 3rd quarter of 2013.

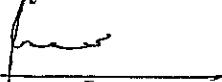
OUTLOOK

The company remains confident of good performance in the second half of the year due to anticipated reduction in interest rates, stable currency and continuing demand for cement from the infrastructure sector. The Dar Es Salaam Plant is expected to contribute to overall performance of the company in the last quarter of the year.

DIVIDEND

The Board of Directors does not recommend an interim dividend for the year.

By Order of the Board



R. R. Vořa
Company Secretary
July 24, 2012